

BEFORE THE FEDERAL MARITIME COMMISSION

MEDITERRANEAN SHIPPING COMPANY -
INVESTIGATION FOR COMPLIANCE WITH
§§ 41104(a) AND 41102 OF DEMURRAGE OR
DETENTION CHARGES UNDER THE CHARGE
COMPLAINT PROCEDURES OF 46 U.S.C. § 41310

DOCKET NO. CC-001

**SUR-REPLY OF MSC MEDITERRANEAN SHIPPING COMPANY S.A.
TO ORDER TO SHOW CAUSE**

This short brief is offered in sur-reply to the new arguments and information submitted by the Office of Enforcement (“OE”) in its Reply to the Respondent’s Answer to the Order to Show Cause (“**Reply**”). In particular, the OE raises four points that were not addressed by the Order to Show Cause (“**OSC**”) issued on February 3, 2023. Equity and fairness dictate that MSC be afforded the opportunity of addressing them as follows.

1. MSC Is Not Legally Required To Justify the Charge, But Has Nonetheless Done So

OE argues for the first time in its Reply that the Respondent has a duty to justify the congestion surcharge by establishing a “benefit conferred upon” the customer by the congestion surcharge. This issue was not raised by the Commission in the OSC and is a misstatement of the law by OE. MSC is not legally required to justify a freight rate increase such as the congestion surcharge, even though it has done so publicly. In essence, OE is encouraging the Commission to review a carrier’s ocean freight rates, for which the Commission has no authority. Had MSC termed the charge a “general freight rate increase”, which it is, there would be no debate about its legality. Freight rates are determined based on the current market, and increases and new rates, whatever they are named, come into effect 30 days after publication in the tariff so customers can freely choose in advance at what cost they move their cargo. The fact that MSC has chosen to

explain a freight rate increase to its customers voluntarily (as being the result of increased cost due to congestion) does not create a legal obligation on the part of MSC to justify its existence.

The precedent cited by OE for its erroneous position is either limited to detention (*Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(C)*, 4 F.M.C. 2d. 53 (ID 2022) (case later settled without Commission ruling)) or relates to port-wide charges imposed by terminal operators (*Kawasaki Kisen Kaisha, Ltd. v. Port Authority of New York and New Jersey* 2014 FMC LEXIS 36 (2014)). OE cites no legal precedent in support of its position that carriers must provide justification for their charges and freight rate increases, and Respondent is not aware of any such precedent. Moreover, OE appears to advocate for an entirely new requirement – that carriers include the justification for *any* charge in their tariff. This is not a requirement found in the Shipping Act, FMC regulations, or any FMC precedent of which Respondent is aware. OE has cited to a variety of inapplicable precedents and requirements to suggest that a charge or freight rate increase is unlawful unless the carrier can justify the amount of the increase. That is rate regulation, for which the Commission has no authority.

The fact that a carrier is not legally required to justify the amount/application of an increase or surcharge has been recognized by the Commission in practice. Where a carrier adopts a new charge to deal with a temporary cost increase, it must give 30 days' advance notice of the new charges. That means cargo received by the carrier prior to the effective date of the charge, which cargo is affected by the circumstances giving rise to the charge, is not subject to the charge. However, the Commission has recognized that the charge may remain in effect for a period of time after the circumstances which necessitated the charge have ended, in order for the carrier to recoup the additional costs it was not able to recover during the 30-day notice period. In other words, the Commission's past practice recognizes that a charge is not unlawful simply because it is applied

to cargo not subject to the costs which prompted the increase.

Attached hereto as Exhibit A is the July 14, 2021 announcement of the reason for the imposition of the congestion surcharge. This announcement was widely disseminated to MSC customers and the trade press at the time the surcharge was published. This announcement provides a justification for the fully transparent freight increase. Customers were free to calculate their freight and choose whether to move cargo with MSC once the increase came into effect, and MSC submits no further justification is required.

2. OE's Approach to Analyzing Congestion is Flawed and Inconsistent with the Facts

OE attempts to argue there is no justification because the U.S. port at which the single container at issued was discharged was not experiencing serious congestion. OE cites no legal support for this test of whether congestion exists. The problem with OE's approach to analyzing the existence of congestion is that it ignores the facts.

As the attached Declaration of Dr. Shamuël Yahalom, (Exhibit B -Yahalom Declaration), distinguished service professor of Global Business and Transportation at the State University of New York Maritime Academy ("Fort Schuyler") makes clear, "congestion, whenever and wherever it occurs on a vessel's route, negatively impacts or even disrupts the carrier's operation of the affected service". Dr. Yahalom concludes that congestion "...causes additional overhead, requires additional vessels, cuts voyages, cuts vessel utilization, causes vessels to operate at less than full load capacity, creates loss of present and future revenues, cancels voyages, and requires different operation and rotation schedules."

Dr. Yahalom, an economist, goes on to conclude in his Declaration (Exhibit B - Yahalom Declaration at p. 9) that:

...since operation schedule integrity drives container shipping operations, congestion impacts the containership operation cycle,

imposing significant delays and costs. The appearance of vessels on anchor is only one symptom of the global operation disruption, and using the number of vessels on anchor at only one port along a service route understates the impact of congestion in any location along the service route on the service as a whole. The disruption is systemwide with congestion on and off along the supply chain and the network impacting the network as a whole. Accordingly, assessment of a surcharge on all cargo carried by the affected service to recover the system-wide cost is reasonable.

As Dr. Yahalom notes, in the case of the SOFi shipment, there were delays in transit due to congestion, especially in China. The vessel M/V INNES was delayed by 2 days trying to get into her berth in Yantian, and was 9 days behind her schedule after departing Qingdao, even though she omitted a scheduled call in Shanghai. Moreover, because the berth at Seattle for the M/V INES was occupied with another vessel, the ship had to slow down her approach to the United States, so as to arrive when the berth became available - otherwise she would have had to go to anchorage, or drift. These facts are ignored by OE in favor of an overly simplistic and inappropriate “test” of how many vessels were at anchorage at the port of discharge.

Even though MSC is not required to justify the congestion surcharge, the Declarations of Tom Hughes, Executive Vice President for Imports of MSC USA (Exhibit C – Hughes Declaration), and of Dr. Yahalom demonstrate there is more than ample justification for the charge:

1. During May-July, 2022, MSC added 3 vessels to the Southeast Asia/US trade route to help alleviate the congestion issues developing in that trade for reasons discussed by Dr. Yahalom. (Exhibit C – Hughes Declaration ¶11). MSC normally employed 6 vessels on that Southeast Asia/US trade route, but had to increase it to 9 during this 63-day period. (Exhibit C – Hughes Declaration at ¶11)). Obviously, it cost more money to add more vessels to a route and meanwhile other route lose money from the loss of vessel.

2. According to Mr. Hughes, the prevailing time charter rates for 8,500 TEU vessels during the period was \$150,000 per day. (Exhibit C – Hughes Declaration at ¶11). So, every ship on the Southeast Asia/US service was each costing MSC \$9,450,000 for the 9-week redeployment (\$150,000/day x 63 days). For 3 ships that comes to \$28,350,000. (Exhibit C – Hughes Declaration at ¶11).

3. In addition, due to the extra time spent waiting for berth over the whole rotation, MSC was consuming about 15 MT per day of fuel oil (bunkers) for the running of just the auxiliary engines. (Exhibit C – Hughes Declaration at ¶12). The price of VLSFO fuel in July, 2022, was about \$1,100 per MT. (Exhibit C – Hughes Declaration at ¶12). So, the extra fuel consumed for the 3 weeks of overall consumption comes to \$346,500 per voyage per ship (21 days x 15 MT/day x \$1,100 = 346,500). (Exhibit C – Hughes Declaration at ¶12).

4. The actual carrying capacity of an 8,500 TEU class vessel is about 7,700 TEUs on the trade, so based upon the figures for the chartered-in vessels, the average cost per TEU equaled approximately \$1,272 ($\$9,450,000 + \$346,500 = \$9,796,500$. $\$9,796,500 / 7,700$ TEUs = \$1,272 per TEU). (Exhibit C – Hughes Declaration at ¶13). This is clearly more than the \$1000 charged for congestion under MSC's tariff. (Exhibit C – Hughes Declaration at ¶13).

5. It must also be taken into account that the voyage was delayed by approximately 2 days in Yantian, and another 9 days in departing Qingdao. (Exhibit C – Hughes Declaration at ¶7 and 9). While the vessel was projected to arrive at Seattle on July 8, 2022 when the voyage started of the m/v INES started in Yantin, China, on June 24, 2022, the shipment actually arrived at the port of Seattle on July 20, 2022, twelve (12) days late as a

direct result of congestion in ports along the route. (Exhibit C – Hughes Declaration at ¶10).

6. Moreover, Dr. Yahalom notes that while the Ms. Monaco for the OE focuses on 0-2 days at anchor in Seattle for July, 2022, the statistics actually show that “the average monthly delay in days in June and July, 2022 was 9.8 days in Seattle and 8.6 days in Tacoma.” (Exhibit B – Yahalom Declaration at p. 8).

7. Mr. Hughes’s Declaration also makes clear that Ms. Monaco failed to note that congestion can also involve slow speeding or drifting to avoid anchorage because of the delays at the discharge port. In fact, the M/V INES, on which the subject cargo was carried, proceeded at slower than average speeds during the cross-Pacific voyage so as to avoid arriving early at Seattle and drifting on arrival because the assigned berth in Seattle for the M/V INES was blocked by the vessel M/V LUCIANA, which was in turn delayed due to congestion. (Exhibit C – Hughes Declaration at ¶10).

In sum, OE’s arguments as to MSC’s legal obligations and the criteria that constitute congestion are flawed. MSC is not legally required to justify the amount of its surcharge. However, as a practical matter it has done so.

3. OE’s Characterization of MSC’s Tariff is Incorrect

OE’s Reply seeks to expand this proceeding beyond the subject shipment and refers to the tariff of MSC effective as of February 21, 2023, as a way to support an argument that MSC is still implementing the congestion surcharge. This is incorrect.

Although the congestion surcharge remained published in MSC’s tariff at the time of OE’s Reply, MSC concluded charging the CGS surcharge on or about December 1, 2022. MSC expects to remove the surcharge from its tariff in the very near future.

4. **The OE Reply Fails to Address Several Substantive Arguments Raised by MSC**

OE did not reply to the substantive arguments raised by MSC that the OSC is unlawful because (a) it violates due process, (b) the OSC improperly shifts the burden of proof to the Respondent, and (c) there are other procedural violations within the OSC. Respondent fully briefed those arguments at Point II of its Response to the OSC.

The failure of the OE to fully respond to the arguments in Point II of Respondent's Response should amount to an inference by the Commission in favor of MSC that its arguments are legally and factually correct.

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Respectfully submitted,

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